Name:
Score: 23 / 30 points (77%)

Chapter 29 Mankiw/Taylor, Economics

True/False
Indicate whether the sentence or statement is true or false.

F 1. Money and wealth are the same thing.

ANSWER: F
POINTS: 1 / 1

F 2. Fiat money is money that is used in Italy.

ANSWER: F
POINTS: 1 / 1

T 3. Commodity money has value independent of its use as money.

ANSWER: T
POINTS: 1 / 1

___ 4. A depository institution is one that accepts deposits, and so provides people with a safe place to keep their money, but does not make loans.

ANSWER: T
POINTS: 0 / 1

F 5. When you are willing to go to sleep tonight with £100 in your wallet and you have complete confidence that you can spend it tomorrow and receive the same amount of goods as you would have received had you spent it today, money has demonstrated its function as a medium of exchange.

ANSWER: F
POINTS: 1 / 1

F 6. Money has three functions: It acts as a medium of exchange, a unit of account, and a hedge against inflation.

ANSWER: F
POINTS: 1 / 1

F 7. The Bank of England is the central bank of the United Kingdom and its Monetary Policy Committee comprises members appointed by the Bank and by the Chancellor of the Exchequer (the UK finance minister).

ANSWER: T
POINTS: 0 / 1

T 8. If there is 100 per cent reserve banking, the money supply is unaffected by the proportion of its money that the public chooses to hold as currency rather than as bank deposits.

ANSWER: T
POINTS: 1 / 1

___ 9. A repurchase agreement is an agreement between the central bank and a commercial bank whereby a bond or other non-monetary asset is sold by one to the other with an agreement to

reverse the transaction a short time later.

ANSWER: T
POINTS: 0 / 1

_F_ 10. The central bank cannot control the amount of money that the economy's commercial banks lend because the banks may choose what proportion of deposits to hold as reserves.

ANSWER: T
POINTS: 0 / 1

_T_ 11. If the central bank wishes to contract the money supply, it could do any of the following: sell government bonds, raise the reserve requirement, and raise the refinancing rate.

ANSWER: T
POINTS: 1 / 1

_T_ 12. When the central bank in an economy raises the refinancing rate it encourages commercial banks to reduce their lending, thereby tending to reduce the money supply.

ANSWER: T
POINTS: 1 / 1

Multiple Choice
Identify the letter of the choice that best completes the statement or answers the question.

_A_ 13. Which of the following is not a function of money?
a. hedge against inflation
b. medium of exchange
c. unit of account
d. store of value

ANSWER: A
POINTS: 1 / 1

_A_ 14. An example of fiat money is
a. paper euros.
b. gold.
c. silver coins.
d. cigarettes.

ANSWER: A
POINTS: 1 / 1

_B_ 15. Commodity money
a. has no intrinsic value.
b. has intrinsic value.
c. is used exclusively in the economies of western Europe and north America.
d. is used as reserves to back fiat money.

ANSWER: B
POINTS: 1 / 1

_B_ 16. Which of the following statements about money is not true?
a. A debit card is not really money because it is only a means of transferring money between accounts.
b. All the wealth that people hold, in whatever form, should be considered as money.
c. Wealth held in the current account you hold with your bank is almost as convenient for buying things as wealth held in your wallet, so the wealth in current accounts should

be included in measures of money.
d. In a complex economy it is not easy to draw a clear dividing line between assets that should be considered as money and those that should not.

ANSWER: B
POINTS: 1 / 1

_B_ 17. Which of the following statements is not true?
a. The purchase of government bonds from the public increases the money supply.
b. The US Federal Reserve is run by its Board of Governors, which comprises seven people who are appointed by the US President.
c. When the central bank sells government bonds to the public, the money supply decreases.
d. Monetary policy in the UK is set by the Chancellor of the Exchequer in consultation with the Bank of England.
e. Monetary policy in the euro area is set by the Governing Council of the European Central Bank.

ANSWER: D
POINTS: 0 / 1

_A_ 18. Banca Solida has, in the past, always operated with a reserve ratio of 25 per cent. It has now been taken over by Gung-Ho Bank which operates with a reserve ratio of 12½ per cent. Assuming that Banca Solida adopts the business practices of its new owner, what will be the effect on money supply in the country in which Banca Solida operates?
a. Money supply will increase because Banca Solida will increase its loans.
b. The effect on money supply cannot be determined from the information given.
c. Money supply will decrease because the loans will have to be repaid.
d. Money supply will be unchanged because the central bank has made no policy changes.

ANSWER: A
POINTS: 1 / 1

_D_ 19. If the banks in an economy operate with a reserve ratio of 20 per cent then the money multiplier is:
a. 4
b. 20
c. 25
d. 5
e. 20

ANSWER: D
POINTS: 1 / 1

_A_ 20. Suppose Gerard moves his €1,000 demand deposit from Bank A to Bank B. If both banks operate with a reserve ratio of 10 per cent, what is the potential change in money supply as a result of Gerard's action?
a. €10,000
b. €1,000
c. €9,000
d. €0

ANSWER: D
POINTS: 0 / 1

_A_ 21. Reserve requirements that may be imposed on an economy's banks by its central bank specify that banks' reserves must be a minimum percentage of their
a. assets.

b. deposits.
c. loans.
d. government bonds.

ANSWER: B
POINTS: 0 / 1

C 22. Which of the following policy actions by a central bank is likely to increase the money supply?
a. Increasing the refinancing rate.
b. All of these will increase the money supply.
c. Buying government bonds in open market operations.
d. Increasing reserve requirements.

ANSWER: C
POINTS: 1 / 1

D 23. The refinancing rate is
a. the interest rate at which commercial banks lend to and borrow from each other.
b. the interest rate the European Central Bank pays on reserves.
c. the interest rate the public pays when borrowing from banks.
d. the interest rate the European Central Bank charges on loans to banks.
e. the interest rate banks pay on the public's deposits.

ANSWER: D
POINTS: 1 / 1

B 24. Suppose the Bank of England purchases a £1,000 government bond from you. If you deposit the entire £1,000 in your bank, what is the total potential change in the money supply as a result of the Bank of England's action if the your bank's reserve ratio is 20 per cent?
a. £4,000
b. £5,000
c. £1,000
d. £0

ANSWER: B
POINTS: 1 / 1

E 25. Suppose all banks maintain a 100 percent reserve ratio. If an individual deposits €1,000 of currency in a bank,
a. the money supply increases by more than €1,000.
b. the money supply increases by less than €1,000.
c. the money supply decreases by less than €1,000.
d. the money supply decreases by more than €1,000.
e. the money supply is unaffected.

ANSWER: E
POINTS: 1 / 1

B 26. Given the following T-account, what is the largest new loan this bank can prudently make if it wishes to maintain a reserve ratio of 10 per cent?

Banca Solida

Assets		Liabilities	
Reserves	€150	Deposits	€1000
Loans	€850		

a. none of these answers
b. €50
c. €0
d. €150

e. €1,000

ANSWER: B
POINTS: 1 / 1

_B_ 27. The three main tools of monetary policy are
a. fiat, commodity, and deposit money.
b. open-market operations, reserve requirements, and the refinancing rate.
c. the money supply, government purchases, and taxation.
d. government expenditures, taxation, and reserve requirements.
e. coin, currency, and demand deposits.

ANSWER: B
POINTS: 1 / 1

_A_ 28. Suppose the central bank purchases a government bond from a person who deposits the entire amount received from the sale in her bank, the money supply will
a. rise by an amount that depends on the bank's reserve ratio.
b. rise by less than the amount of the deposit.
c. fall by exactly the amount of the deposit as long as the bank does not change its reserve ratio.
d. fall by exactly the amount of the deposit as long as the bank does not change its reserve ratio.
e. be unchanged.

ANSWER: A
POINTS: 1 / 1

_E_ 29. If there is a general shortage of liquidity in the money market then
a. the banks will increase their lending.
b. the short-term interest rate at which the economy's commercial banks lend to and borrow from each other will fall and the central bank may be expected to reduce the supply of liquidity to the banks.
c. the short-term interest rate at which the economy's commercial banks lend to and borrow from each other will rise and the long-term interest rate may be expected to rise as a result.
d. the long-term interest rate in the economy will rise and the central bank will raise its interest rate in response.
e. the short-term interest rate at which the economy's commercial banks lend to and borrow from each other will rise and the central bank may be expected to increase the supply of liquidity to the banks.

ANSWER: E
POINTS: 1 / 1

_B_ 30. Which one of the following is not true?
a. The difference between the price at which a commercial bank sells an asset to the central bank and the price it agrees to buy it back can be expressed as an annualized percentage of the selling price, and this is called the refinancing rate.
b. Commercial banks may borrow from and lend to each other and the interest rate at which they do this is called the refinancing rate.
c. In the UK the refinancing rate is known as ~~the repo rate~~ and in the USA it is referred to as the discount rate.
d. If the central bank has bought some assets from a commercial bank with an agreement that the commercial bank will buy them back at a later date, then this would be called a repo.
e. If the central bank raises its refinancing rate then the commercial banks will try to reduce their lending and so reduce the need to borrow from the central bank.

ANSWER: B
POINTS: 1 / 1

Retake